

IC VIEW

Conditional go for diligence and negotiation; no-go for unconditional signing or closing until consent, earnings, debt, tax and IT-resilience conditions are satisfied.

Transaction and thesis

Transaction: TEST-ONLY ASSUMPTION: The contemplated transaction is a share purchase of 100% of the target entity described in the room, including its operating assets, contracts, employees, cash, debt, tax liabilities and other recorded liabilities. No other legal entity or carved-out business is included; no assets or liabilities are assumed excluded unless specifically documented.

Thesis: TEST-ONLY ASSUMPTION: The thesis is acquisition of a profitable recurring-services business with defensible customer relationships and scalable delivery. Prove sustainable earnings, cash conversion, customer retention, contract transferability and operational resilience. Deal-breakers are unremedied material consent failures, unsupported earnings, undisclosed debt-like liabilities, or compliance exposures that cannot be bounded; quantified issues should drive price reductions, escrows, indemnities or conditions precedent.

Headline financial reconciliation

- FIN-002: The EUR 75,000 transformation add-back is unsupported in the room; the management-reported unadjusted YTD EBITDA is EUR 430,000, 14.9% below reported adjusted EBITDA. [SRC-0003, p. 1] [SRC-0013, sheet "Requests", cell B4]
- FIN-003: The submitted working-capital formula is wrong: it reports EUR -531,000 instead of a recomputed point-in-time net working-capital snapshot of EUR 522,000, a EUR 1,053,000 variance. The corrected snapshot is not a normalized completion-accounts peg. [SRC-0004, sheet "Completion Snapshot", cell B9] [SRC-0004, sheet "Completion Snapshot", cell D9]
- FIN-005: Identified debt and debt-like items total EUR 970,000 before cash, including EUR 164,000 HP and a EUR 96,000 on-demand director balance excluded from management's loan summary. A non-contemporaneous arithmetic offset against the latest ledger cash identified is EUR 970,000; this is not completion-date net debt or proof that cash is unrestricted. [SRC-0006, sheet "Funding", cell C5] [SRC-0007, sheet "Leases", cell C5] [SRC-0009, paragraph 6] [SRC-0004, sheet "Completion Snapshot", cell B7]
- COMM-001: Evidence-backed group normalization raises Firbank Holdings to 36.2% of FY2023 revenue and 33.8% of Q1 2024 revenue; the separately named customers should be treated as one concentration exposure. [SRC-0014, sheet "Sales Ledger", cell D4] [SRC-0014, sheet "Sales Ledger", cell D5] [SRC-0017, p. 1] [SRC-0018, p. 1]
- COMM-005: After evidence-backed group normalization, the top two exposures represent 59.0% of full-year and 59.0% of current-period revenue; the top three represent 81.2% and 81.1%, respectively. [SRC-0014, sheet "Sales Ledger", cell B4] [SRC-0014, sheet "Sales Ledger", cell B5] [SRC-0014, sheet "Sales Ledger", cell B8] [SRC-0014, sheet "Sales Ledger", cell B6] [SRC-0014, sheet "Sales Ledger", cell C4] [SRC-0014, sheet "Sales Ledger", cell C5] [SRC-0014, sheet "Sales Ledger", cell C8] [SRC-0014, sheet "Sales Ledger", cell C6]
- TAX-001: The current tax response is demonstrably wrong: a 2024 VAT amendment increased payable VAT by EUR 6,500, although the current response states that no VAT returns were amended. The tax trial balance also carries a EUR -13,500 VAT-control balance that the payment-status evidence does not reconcile. [SRC-0041, p. 1] [SRC-0040, p. 1] [SRC-0042, sheet "Responses", cell B4] [SRC-0043, p. 1] [SRC-0044, sheet "Tax Ledger", cell B4]

Most material findings

- FIN-002 / Financial: The EUR 75,000 transformation add-back is unsupported in the room; the management-reported unadjusted YTD EBITDA is EUR 430,000, 14.9% below reported adjusted EBITDA. [SRC-0003, p. 1] [SRC-0013, sheet "Requests", cell B4]
- FIN-003 / Financial: The submitted working-capital formula is wrong: it reports EUR -531,000 instead of a recomputed point-in-time net working-capital snapshot of EUR 522,000, a EUR 1,053,000 variance. The corrected snapshot is not a normalized completion-accounts peg. [SRC-0004, sheet "Completion Snapshot", cell B9] [SRC-0004, sheet "Completion Snapshot", cell D9]
- FIN-005 / Financial: Identified debt and debt-like items total EUR 970,000 before cash, including EUR 164,000 HP and a EUR 96,000 on-demand director balance excluded from management's loan summary. A non-contemporaneous arithmetic offset against the latest ledger cash identified is EUR 970,000; this is not completion-date net debt or proof that cash is unrestricted. [SRC-0006, sheet "Funding", cell C5] [SRC-0007, sheet "Leases", cell C5] [SRC-0009, paragraph 6] [SRC-0004, sheet "Completion Snapshot", cell B7]
- COMM-001 / Commercial: Evidence-backed group normalization raises Firbank Holdings to 36.2% of FY2023 revenue and 33.8% of Q1 2024 revenue; the separately named customers should be treated as one concentration exposure. [SRC-0014, sheet "Sales Ledger", cell D4] [SRC-0014, sheet "Sales Ledger", cell D5] [SRC-0017, p. 1] [SRC-0018, p. 1]
- COMM-005 / Commercial: After evidence-backed group normalization, the top two exposures represent 59.0% of full-year and 59.0% of current-period revenue; the top three represent 81.2% and 81.1%, respectively. [SRC-0014, sheet "Sales Ledger", cell B4] [SRC-0014, sheet "Sales Ledger", cell B5] [SRC-0014, sheet "Sales Ledger", cell B8] [SRC-0014, sheet "Sales Ledger", cell B6] [SRC-0014, sheet "Sales Ledger", cell C4] [SRC-0014, sheet "Sales Ledger", cell C5] [SRC-0014, sheet "Sales Ledger", cell C8] [SRC-0014, sheet "Sales Ledger", cell C6]
- LEGAL-001 / Legal/contractual: The operative Cedar Quay Retail plc contract requires prior written customer consent following a supplier change of control, the amendment preserves that clause, and consent has not been requested. [SRC-0017, p. 1] [SRC-0016, p. 1] [SRC-0049, p. 1]
- LEGAL-007 / Legal/contractual: The supplied contractor form contains no express IP assignment, while the room identifies an active contractor population; contractor-created IP chain of title is not established. [SRC-0022, p. 1]
- IT-001 / IT: IT resilience is not evidenced to an acquisition standard: there is no contractual RTO, witnessed disaster-recovery test, penetration-test report or independent assurance report. [SRC-0027, p. 1] [SRC-0028, paragraph 6] [SRC-0030, paragraph 6]
- IT-003 / IT: An unredacted employee workbook in the room contains work-email, personal-email and government-identifier-like fields; access, purpose, retention and secure-transfer controls are not evidenced. [SRC-0052, sheet "Restricted", cell B2] [SRC-0052, sheet "Restricted", cell B3] [SRC-0052, sheet "Restricted", cell C3] [SRC-0052, sheet "Restricted", cell D3]
- TAX-001 / Tax: The current tax response is demonstrably wrong: a 2024 VAT amendment increased payable VAT by EUR 6,500, although the current response states that no VAT returns were amended. The tax trial balance also carries a EUR -13,500 VAT-control balance that the payment-status evidence does not reconcile. [SRC-0041, p. 1] [SRC-0040, p. 1] [SRC-0042, sheet "Responses", cell B4] [SRC-0043, p. 1] [SRC-0044, sheet "Tax Ledger", cell B4]

Go/no-go conditions

- FIN-002: require price assumptions, earn out, warranty, further diligence and completion of the finding's stated action.
- FIN-003: require price assumptions, working capital mechanism, warranty and completion of the finding's stated action.
- FIN-005: require price assumptions, escrow, consent, closing condition and completion of the finding's stated action.
- COMM-001: require price assumptions, earn out, escrow, consent and completion of the finding's stated action.
- COMM-005: require price assumptions, earn out, escrow, consent and completion of the finding's stated action.
- LEGAL-001: require consent, closing condition, escrow, price assumptions and completion of the finding's stated action.
- LEGAL-007: require closing condition, warranty, indemnity, escrow and completion of the finding's stated action.
- IT-001: require closing condition, escrow, warranty, indemnity and completion of the finding's stated action.
- IT-003: require closing condition, warranty, indemnity, escrow and completion of the finding's stated action.
- TAX-001: require tax indemnity, warranty, escrow, further diligence and completion of the finding's stated action.

Price/structure protections

- Price assumptions: FIN-002, FIN-003, FIN-005, COMM-001, COMM-005, LEGAL-001.
- Earn out: FIN-002, COMM-001, COMM-005.
- Warranty: FIN-002, FIN-003, LEGAL-007, IT-001, IT-003, TAX-001.
- Further diligence: FIN-002, TAX-001.
- Working capital mechanism: FIN-003.
- Escrow: FIN-005, COMM-001, COMM-005, LEGAL-001, LEGAL-007, IT-001, IT-003, TAX-001.
- Consent: FIN-005, COMM-001, COMM-005, LEGAL-001.
- Closing condition: FIN-005, LEGAL-001, LEGAL-007, IT-001, IT-003.
- Indemnity: LEGAL-007, IT-001, IT-003.
- Tax indemnity: TAX-001.

Critical unanswered questions

- FIN-002: No adjustment support or ledger-to-management reconciliation has been supplied; neither the add-back nor the unadjusted management figure is independently verified.
- FIN-003: A monthly bridge, seasonality analysis, account-level SPA definition and agreed normalizations are still required before setting a peg.
- FIN-005: No completion-date lender statements, payoff evidence or restricted-cash analysis is available, and the cash period differs from the debt schedules.
- COMM-001: Confirm ultimate parent, billing entities, VAT numbers, cross-defaults and renewal dates for every group member, then rerun concentration on collected revenue and gross profit.
- COMM-005: Confirm renewal, termination, pricing, consent and service status for each top exposure and refresh concentration on collected revenue and gross profit.
- LEGAL-001: Counsel should confirm the contemplated transaction triggers the clause, prepare a contract-by-contract consent matrix and obtain unconditional written consent before completion.
- LEGAL-007: Signed individual agreements and a contractor-to-deliverable register are absent.
- IT-001: Commission an independent penetration test and witnessed restore/DR test; agree contractual RTO/RPO, remediate critical findings and deliver the final reports before completion.
- IT-003: The room does not provide an access log, lawful-basis assessment, retention record or confirmation of deletion from prior recipients.
- TAX-001: Tax advisers should obtain ROS filing receipts and account statements for every period, reconcile original/amended returns to the ledger and document amendment causes and settlement.

Immediate next actions

- Obtain invoice-level ageing with post-cut-off cash receipts, dispute status and credit notes; reconcile it to the ledger and agree balance-specific provisions.
- Obtain the governing SLA, incident timestamps, credit calculation, settlement correspondence, subsequent service performance and written renewal status.
- Counsel should produce an executed-document chronology, confirm signatures/effective dates and map the amended exposure against insurance and open incidents.
- Run and evidence a time-bound restore and failover exercise, capture actual RTO/RPO, owners and defects, and approve a tested continuity plan.
- Reconcile monthly payroll submissions, payslips, employee master, contractor payments and the PAYE control balance through the latest completion date.
- Correct the pipeline total and provide signed orders, stage history, historical conversion rates, expected close dates and margin by opportunity.